

Consolidated Portfolio Review & Investment-Product Due-Diligence

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Scope: 20 mutual-fund schemes (27 folios, ₹4.62 crore), 2 discretionary PMS accounts (₹1.88 crore), 4 Axis Max Life insurance policies (₹79.6 lakh premiums paid) — an institutional-grade, evidence-based review of what is owned, why it has performed, where risk is hidden, whether performance is repeatable, and what a sophisticated family office would change.

Documents analysed: (1) Axis Bank consolidated portfolio statement, valued **31-May-2026** (Excel); (2) ICICI Securities "Portfolio Analytics" deck, **June 2026** (19 pp; holdings data as on 30-Apr-2026, FY returns to FY27-TD).

Independent data cut-off: 3-Jul-2026 (AMC factsheets mostly 31-May-2026; SEBI/APMI PMS disclosures 31-May-2026; aggregator data 1-3-Jul-2026).

Conventions: Indian numbering (lakh/crore). Every material figure carries its as-of date. The report separates **reported facts**, **calculated figures** ("calc"), **estimates** ("est."), and **opinions**; data that could not be verified is marked "**not verifiable**". Statement returns are absolute holding-period figures, not annualised, unless stated.

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Part A — Executive

A1 · Headline findings

1. The portfolio has worked in spite of its construction, not because of it. The ₹6.50 crore investment book (₹5.64 cr deployed) is up +15.3% absolute. Decomposed: the mutual-fund sleeve (+₹98.3 L, +27.0%) rode the FY24 bull market (+40.5% portfolio FY24, ISec deck) and a historic precious-metals rally (gold +45% in INR over the year to Jul-2026), while the two deliberate "sophistication" moves — ₹2 crore into two PMS accounts, placed near the late-2024 peak — have **lost ₹11.9 lakh (−5.9%)**.

2. The construction is a distribution fingerprint, not an asset allocation. 100% Regular plans (est. ₹4.8 L/yr embedded commissions); 9 of 20 schemes from Axis AMC; ≥8 NFO-priced purchases; four overlapping asset-allocation funds; six sub-₹5 L clutter positions; two ₹1-crore PMS tickets through the bank channel; three bancassurance traditional policies compounding ~4–6%. Two bank-affiliated channels service the book (Axis Bank statement; ICICI Securities analytics, ARN-0845) — and the product mix maps to distributor economics in both cases.

3. The distributor's own analytics flatter the outcome. The ISec deck headlines "outperformed the broad market (Nifty)" — against the *Nifty 50 TRI*, the softest large-cap yardstick for a portfolio that is 47:39 large:mid/small (its fair comparator, Nifty 500 TRI, shows a FY27-TD *lag*: 9.9% vs 10.5%). Worse, the FY-wise "portfolio" series applies **today's weights to past years** — including funds the client did not own then (8 of 18 schemes show "NA" before FY24) — a composition/backfill bias that overstates the lived experience. The client's actual money-weighted return was never computed in either document. (ISec deck p.4–5; forensic note B2.)

4. Risk is more concentrated than 20 schemes suggest. Verified look-through (ISec, 30-Apr-2026): top-10 stocks ≈ 20% of equity MF, led by ICICI Bank 3.4%, HDFC Bank 3.0%, Axis Bank 2.2%; Bank+Finance ≈ 20.5%; autos ≈ 10.9%. Half the equity book (9/18 funds, ≈46% of equity value) is unrated by CRISIL ("shortlisting criteria not fulfilled" — mostly young NFOs). Mid+small exposure is 39% of equity MF plus 73% of the Founders PMS.

5. The fix is worth more than any fund selection. Consolidating to ~8–10 products, migrating to direct plans, exiting the zero-alpha PMS (Helios: SI 19.01% vs benchmark 19.03% net, six years), and building the missing fixed-income sleeve adds an estimated **+1.3–1.7pp/yr net** at *lower* risk — ≈ ₹1.5–1.9 crore of incremental wealth over 10 years (calc, §B5/F1).

A2 · Best / worst matrix

Category	Answer	Evidence (source, date)
Best overall product held	ICICI Prudential Multi-Asset Fund	SI 20.38% vs 13.05% benchmark since Oct-2002; Sharpe 1.19, SD 8.86%; 5★ VR; TER 1.06% regular — cheapest active product in the book (AMC factsheet 31-May-2026)
Best pure-equity fund	ICICI Pru India Opportunities	SI 18.86% CAGR; ahead of Nifty 500 TRI over 1/3/5yr; rank 1/52 (02-Jul-2026)
Best PMS held	Neither earns its fee; relatively, MO Founders	Founders SI 23.39% vs 18.46% (31-May-2026) = real alpha, one cycle; Helios SI 19.01% vs 19.03% = none (31-May-2026, SEBI-format TWRR net)
Best risk-adjusted strategy	ICICI Multi-Asset	Highest Sharpe (1.19) at lowest SD (8.86%) of any growth product held (31-May-2026)
Best downside protection	ICICI Multi-Asset; metals sleeve	FY26 (correction year): ICICI MA +5.1%, ABSL MAA +10.4% vs Nifty 500 TRI −2.9% (ISec FY table)
Best current holdings quality	Kotak Midcap; ICICI Multi-Asset	Kotak Midcap beta 0.93, alpha +1.6 under new manager; diversified quality-mid book (02-Jul-2026)
Best valuation discipline	ICICI house (Naren value style)	India Opps: financials 31% + 5% cash; Multi-Asset 31% non-equity (31-May-2026)
Best for aggressive capital	Kotak Multicap / Kotak Midcap	3-yr direct 21.35% vs 9.28% Nifty 50 TRI (30-Jun-2026); 5★/4★ VR; CRISIL Silver both
Best for moderate capital	ICICI Multi-Asset + gold FoF pair	Equity+real-asset diversification ≤1.1% TER regular
Most avoidable held	Axis Momentum; Axis MAA; UTI Small Cap; Helios PMS	SI −7.67% vs −0.91% (12-Jun-2026); 1★ VR, −2.7pp/yr 3-yr; 2★ bottom-quartile + founding-manager exit; zero SI alpha + 3 SEBI letters
Most overrated	Helios India Rising	Star-manager brand, index-like net results for 2.5%+ fees, 6 yrs (31-May-2026)
Most underrated held	ICICI Gold ETF FoF	Best 1-yr performer in the book (+45.2%, 03-Jul-2026) at 2.2% weight; deserves a designed 8–10% metals sleeve
Biggest hidden risk	Bank-channel concentration	Axis group = AMC (9 schemes) + insurer (4 policies) + PMS distributor; ICICI Sec advisory on the same book; financials look-through 20.5% (ISec 30-Apr-2026)
Products that must not be combined	4 asset-allocation funds; 3 Axis diversified-equity funds	Same mandate, multiplied fees; \$B3 overlap

A3 · Decision table — all 26 products

Composite score /100 per Appendix-1 model; forward-looking score re-weights holdings quality, valuation, scalability, repeatability. Expected CAGR is a 5-yr base case net of the product's cost *as currently held*; expected max drawdown is a 12-month worst-realistic estimate. Recommendations use the fixed scale: Strong Buy / Buy / Accumulate / Hold / Reduce / Exit / Avoid / Insufficient Data.

#	Product	Score	Fwd	Recommendation	Max wt.	Horizon	Exp. CAGR	Exp. DD	Flag	Conf.	Principal reason for / against
1	ICICI Pru Multi-Asset	82	80	Hold / Add	20%	5y	10–12%	−18%	LOW	High	24-yr compounding machine at 1.06% / succession risk after Naren
2	ICICI Pru India Opportunities	76	74	Hold / Accumulate	10%	5y	11–13%	−30%	LOW	High	Repeatable contrarian process / lags in momentum melt-ups
3	ICICI Pru Gold ETF FoF	74	70	Hold / Add	7%	3y	5–8%	−25%	LOW	High	Cheap, tight-tracking crisis hedge / spot already parabolic
4	Kotak Multicap	74	73	Hold	6%	5y	11–13%	−35%	LOW	Med-Hi	3-yr alpha +4.6pp, stable managers / one-regime record
5	Kotak Midcap	73	71	Hold	6%	7y	11–14%	−40%	LOW	Med-Hi	Quality-mid franchise / ₹65k-cr AUM alpha decay, new manager

#	Product	Score	Fwd	Recommendation	Max wt.	Horizon	Exp. CAGR	Exp. DD	Flag	Conf.	Principal reason for / against
6	ICICI Pru Flexicap	72	69	Hold	6%	5y	10–12%	–32%	LOW	Med-Hi	+2.3pp 3-yr alpha, CRISIL Gold / 23.4% single-sector auto bet
7	MO Gold & Silver FoF	70	68	Hold	5%	3y	4–8%	–30%	LOW	Med-Hi	Silver kicker in metals sleeve / SD 25.9%
8	Axis Multicap	68	64	Hold (capped)	6%	5y	10–12%	–35%	MOD	Med	5★ VR, +3.4pp 3-yr / single-regime, ~2% TER, house churn
9	ICICI Pru Innovation	65	60	Hold (tight watch)	3%	5y	9–12%	–35%	MOD	Med	3-yr +7.1pp / Tawakley exit Feb-26, loose theme
10	ABSL Multi Asset Allocation	62	58	Reduce to ≤5%	5%	3y	9–11%	–20%	MOD	Med-Hi	Decent but duplicated; oversized at 10.6% on a 3-yr record with a manager swap
11	MO Large & Midcap	60	55	Hold (probation)	2%	5y	9–12%	–40%	MOD	Med	Record belongs to departed manager (Jan-26); CRISIL Bronze
12	Axis Balanced Advantage	60	55	Exit (consolidate)	—	—	8–10%	–15%	LOW	Med-Hi	4★ but the 4th allocation product at ₹3 L — clutter
13	Axis Business Cycles	58	52	Reduce 50–70%	3%	5y	8–11%	–38%	MOD	Med	Index-like book at 2.27% TER; bank the +57% NFO gain
14	Axis Large & Mid Cap	58	54	Exit (switch)	—	—	9–11%	–35%	MOD	Med	Trails benchmark 3y/5y; renamed Jun-25; duplicated exposure
15	Axis India Manufacturing	55	50	Reduce 50%	2%	5y	8–11%	–40%	MOD	Med	Top-of-cycle theme, 2.07% TER, index-matching so far
16	MO Founders PMS	55	50	Hold 12m, re-underwrite	10%	5y	9–13%	–45%	MOD	Med	Real SI alpha (+4.9pp) / 73% mid-small, fee stack, key-person churn above strategy
17	Axis Small Cap	55	48	Exit	—	—	8–11%	–45%	MOD	Med	–4.4pp 3-yr vs benchmark; 3 manager changes 2023–24
18	Axis Nifty500 Value 50 Index	52	50	Exit (switch to direct)	—	—	8–11%	–35%	MOD	Med-Hi	1.05% for an index fund inverts the point of indexing
19	Helios India Rising PMS	48	42	Exit (staged)	—	—	8–10%	–35%	HIGH	Med	Zero SI alpha net of fees over 6 yrs; 3 SEBI observation letters 2024–25

#	Product	Score	Fwd	Recommendation	Max wt.	Horizon	Exp. CAGR	Exp. DD	Flag	Conf.	Principal reason for / against
20	Axis Multi Asset Allocation	45	42	Exit	—	—	7–9%	–22%	HIGH	Med-Hi	1★ VR; –2.7pp/yr vs benchmark 3-yr; rebranded product
21	UTI Small Cap	45	40	Exit	—	—	7–10%	–45%	HIGH	Med-Hi	2★; bottom-quartile 1/3/5-yr; founding manager left Jul-25
22	Axis Momentum	40	38	Exit	—	—	7–11%	–40%	HIGH	Med	SI –7.7% vs –0.9%; factor NFO at ~2% TER
23	Smart Term Plan ₹1 cr	—	—	Hold (verify variant)	—	2057	—	—	MOD	Med	Keep cover / premium implies ROP variant — confirm; consider top-up pure term
24	SWAG Guarantee Plan	—	—	Continue premiums	—	2034	5.5–6.5% tax-free	—	MOD	Med-Hi	Surrender = ₹4–7 L loss; completed ≈ 6% tax-free IF 10(10D) survives (E3)
25	Smart Wealth Plan (self)	—	—	Insufficient Data	—	—	~5–6% est.	—	MOD	Low	₹30.6 L inside; obtain schedule + surrender quote, then decide
26	Smart Wealth Plan (spouse)	—	—	Insufficient Data	—	—	~5–6% est.	—	MOD	Low	₹25.6 L inside; same action

No product earns "Strong Buy" at mid-2026 valuations. Exit list ≈ ₹1.30 cr (₹37.7 L MF + ₹92.1 L Helios); Reduce list ≈ ₹1.28 cr. Execution sequencing (loads, LTCG windows, loss-harvest) in Part F2.

Part B — Portfolio-level analysis

B1 · What is actually owned (look-through)

TOTAL INVESTMENTS

₹6.50 cr

on ₹5.64 cr deployed ·
+15.3% abs. (31-May-26)

MUTUAL FUNDS

₹4.62 cr

20 schemes / 27 folios ·
+27.0% abs.

PMS ×2

₹1.88 cr

−5.9% abs. · 28.9% of
investments

INSURANCE PREMIUMS

₹79.6 L

4 policies · ₹1.375 cr
cover

ANNUAL FEE LEAKAGE

~₹9-11 L

≈1.7% of corpus (est.,
B5)

B1.1 Asset-class truth vs label (calc)

Layer	Equity	Debt + cash	Gold + silver	Comment
As labelled (ISec deck, Jun-26, MF only)	91.9% "MF Equity"	0.0% "MF Debt"	8.1% "MF Commodity"	ISec buckets the 3 multi-asset funds wholly as "equity" — mislabelling ~₹44 L of debt/gold sleeves
Look-through (MF book, calc from 31-May-26 factsheet sleeves)	≈ 74%	≈ 14%	≈ 12%	Multi-asset funds decomposed: equity 68-73%, debt 12-26%, metals 11-14% each
Look-through (total ₹6.50 cr incl. PMS, calc)	≈ 76%	≈ 15%	≈ 8.6%	PMS ≈95% equity assumed; Founders cash 5.9% disclosed

B1.2 Market-cap bifurcation — equity MF (ISec, 30-Apr-2026, reported fact)

	Large cap	Mid cap	Small cap	Cash & others
Equity MF book (18 schemes)	47.0%	21.3%	17.7%	13.9%
Add MO Founders PMS (21/38.6/34.6/5.9)	≈43%	≈24%	≈20%	≈13%

Reading: ≈39% of the equity MF book is mid+small — before adding the Founders PMS (73% mid+small) and noting Helios' undisclosed mix. The family's *felt* volatility will track mid/small indices far more than the "20 diversified funds" framing suggests. Highest single-scheme small-cap loads: UTI SC 82.3%, Axis SC 69.0%, Kotak Multicap 31.7%, ICICI Flexicap 26.9%, Axis Multicap 26.8% (ISec cap table, 30-Apr-26).

B1.3 Where the money sits (31-May-2026 statement; abs. returns are holding-period, not annualised)

#	Product	Invested ₹	Value ₹	Abs. ret.	% of inv.	CRISIL view (ISec)	Note
1	MO Founders PMS	1,00,00,000	96,03,952	−4.0%	14.8%	—	Largest product; near/at peak entry
2	Helios India Rising PMS	1,00,00,000	92,10,579	−7.9%	14.2%	—	2nd largest; zero-alpha strategy
3	ABSL Multi Asset Allocation	62,49,688	69,00,150	+10.4%	10.6%	NA	Largest MF; 3-yr-old fund
4	ICICI Pru Multi-Asset (2 folios)	41,29,594	56,89,613	+37.8%	8.8%	NA	Best large position
5	ICICI Pru India Opportunities (3)	44,99,775	49,13,548	+9.2%	7.6%	NA	2 of 3 tranches underwater
6	Axis Multicap (3)	42,99,785	43,28,757	+0.7%	6.7%	Silver	Built near 2024 peak
7	Axis Business Cycles	24,24,879	38,16,716	+57.4%	5.9%	NA	NFO Feb-23 winner
8	Kotak Multicap	16,05,260	31,17,254	+94.2%	4.8%	Silver	Best absolute gainer (NFO Sep-21)
9	ICICI Pru Flexicap (2)	19,99,800	28,19,497	+41.0%	4.3%	Gold	NFO Jul-21 + 2024 top-up
10	MO Gold & Silver FoF	19,99,900	23,20,327	+16.0%	3.6%	—	Metals rally
11	Axis India Manufacturing (2)	13,99,930	19,54,766	+39.6%	3.0%	NA	NFO Dec-23
12	ICICI Pru Innovation	9,99,950	16,53,454	+65.4%	2.5%	NA	NFO Apr-23
13	Kotak Midcap	9,99,950	16,47,669	+64.8%	2.5%	Silver	Genuine performer
14	Axis Multi Asset Allocation	12,49,938	15,88,208	+27.1%	2.4%	NA	1★ VR fund
15	Axis Large & Mid Cap	9,99,950	14,77,857	+47.8%	2.3%	Silver	Renamed Jun-25
16	ICICI Pru Gold ETF FoF	12,99,935	14,23,439	+9.5%	2.2%	—	Recent entry
17	UTI Small Cap	4,99,975	7,32,658	+46.5%	1.1%	Silver	Fund lags peers badly
18	MO Large & Midcap	4,99,975	6,04,775	+21.0%	0.9%	Bronze	Niket Shah era ended Jan-26
19	Axis Nifty500 Value 50 Index	2,99,985	3,42,677	+14.2%	0.5%	NA	Index via regular plan
20	Axis Balanced Advantage	2,99,985	3,04,066	+1.4%	0.5%	Silver	Clutter
21	Axis Small Cap	2,99,985	2,95,007	−1.7%	0.5%	Silver	Clutter
22	Axis Momentum	2,99,985	2,60,987	−13.0%	0.4%	NA	NFO Dec-24; worst holding

CRISIL views from the ISec deck (quarterly proprietary ranking): only **one Gold** (ICICI Flexicap), eight Silver, one Bronze (MO L&M), and **nine "NA — shortlisting criteria not fulfilled"**. Nearly half the equity book ($\approx 46\%$ by value: ABSL MAA, Axis MAA, ICICI MA, Value 50, Business Cycles, Manufacturing, Momentum, India Opps, Innovation) is *unrateable* under the distributor's own framework — mostly because the funds are too young. A bank channel that sells products its own research cannot yet rank is itself a finding.

B2 · FY-wise performance — and what the distributor's chart hides

B2.1 Scheme-by-scheme FY absolute returns (ISec deck, source ACE MF; FY27-TD = Apr-May/Jun 2026)

Scheme (Reg-G)	Wt %	FY27 TD	FY26	FY25	FY24	FY23	FY22
Axis Balanced Advantage	0.7	4.1	−0.4	11.2	28.1	0.2	10.7
ABSL Multi Asset Allocation	16.3	8.6	10.4	12.5	23.9	NA	NA
Axis Multi Asset Allocation	3.7	5.7	9.8	11.2	20.1	−6.6	17.6
ICICI Pru Multi-Asset	13.4	5.5	5.1	13.3	32.6	10.4	31.1
Axis Nifty500 Value 50 Index	0.8	10.8	12.8	NA	NA	NA	NA
ICICI Pru Flexicap	6.6	10.2	1.5	4.0	44.9	4.8	NA
Axis Multicap	10.2	12.7	−1.8	13.5	51.4	−3.7	NA
Kotak Multicap	7.3	11.1	2.2	4.8	61.5	5.3	NA
Axis Large & Mid Cap	3.5	12.3	−0.5	7.0	48.0	−9.1	29.4
MO Large & Midcap	1.4	18.0	1.4	13.8	51.5	7.6	17.6
Kotak Midcap	3.9	14.0	3.2	15.3	38.0	4.0	24.4
Axis Small Cap	0.7	14.8	−2.8	11.0	39.6	0.5	40.2
UTI Small Cap	1.7	17.7	−4.3	12.8	38.2	−2.9	37.1
Axis Business Cycles	9.0	11.7	−3.5	6.2	41.3	NA	NA
Axis India Manufacturing	4.6	14.4	5.2	7.7	NA	NA	NA
Axis Momentum	0.6	8.3	−3.9	NA	NA	NA	NA
ICICI Pru India Opportunities	11.6	6.6	0.7	11.9	51.7	10.3	35.4
ICICI Pru Innovation	3.9	11.8	−1.0	10.8	NA	NA	NA
Equity MF composite (ISec)	100	9.9	2.9	10.5	40.5	4.0	29.9
Nifty 50 TRI		5.6	−4.0	6.7	30.1	0.6	20.3
Nifty 500 TRI (fair comparator)		10.5	−2.9	6.4	40.5	−1.2	22.3
Nifty Midcap 100 TRI		17.3	2.5	8.0	61.2	2.0	26.7
Nifty Smallcap 100 TRI		19.4	−4.9	6.2	70.9	−12.9	29.8
CRISIL Hybrid 35+65 Aggressive		6.1	−0.6	7.4	27.3	1.1	15.3

B2.2 Forensic notes on the ISec presentation (Stage-19 red-flag review of the *document*, not just the funds)

- Soft benchmark.** The headline chart compares a 47:39 large:mid/small portfolio against the **Nifty 50 TRI** — the easiest large-cap yardstick. Versus the fair comparator (Nifty 500 TRI), FY27-TD shows a **lag** (9.9% vs 10.5%) and FY24 a tie (40.5% vs 40.5%). Versus the mid/small indices that drive 39% of the book, every year looks materially worse (FY27-TD: Midcap 100 TRI +17.3%).
- Composition/backfill bias.** The "portfolio" FY series applies **today's weights** to historical years. Eight of 18 schemes show "NA" for FY22-FY23 (not launched), and the client demonstrably bought most positions during 2023-25 (avg-cost evidence, §B4). The client did not earn 29.9% in FY22 or 40.5% in FY24 on today's corpus — **no XIRR appears anywhere in either document**. The only client-true number available is +27.0% absolute on the MF book (statement, 31-May-26).
- Chart/table inconsistency.** The deck's bar chart labels the series FY26-TD...FY21 while its own table labels the identical numbers FY27-TD...FY22 — a one-year mislabel that would overstate recency to a casual reader. Minor, but symptomatic of template recycling in distributor analytics.
- Asset-allocation mislabel.** Page 2 buckets the three multi-asset funds (₹1.42 cr) as 100% "MF Equity" and reports "MF Debt: 0.0%" — overstating equity by roughly ₹44 L and hiding the debt the client actually owns (look-through B1.1).
- Selective observation.** "Outperformed the broad market over 1 yr" is presented without fee, plan-class, or risk adjustment — and without noting that 9 of 18 funds are unratable by the house's own CRISIL framework and that the portfolio's FY26 resilience came substantially from the gold sleeves.

Fairness note: the deck also contains genuinely useful, honest data (per-scheme FY returns incl. red-cell losers, cap bifurcation, top-5 stock/sector tables) used throughout this report. The critique is of framing, not fabrication.

B2.3 What the FY grid actually reveals (regime analysis)

- **FY24 made the portfolio.** Composite +40.5% — in line with Nifty 500 TRI's +40.5%. The book captured beta, not alpha, in its best year.
- **FY26 (correction year) exposed the split:** multi-asset + gold products printed +5 to +12% while 11 of 18 equity schemes were negative or $\leq 1.5\%$. Downside protection came from asset mix, not stock selection.
- **The Axis thematic cluster is regime-dependent:** Business Cycles -3.5% , Momentum -3.9% , Axis Multicap -1.8% in FY26; all rebounded double-digit FY27-TD with the market.
- **Persistent laggards are visible in plain sight:** UTI SC negative in 2 of its 5 FYs vs category; Axis L&M's -9.1% FY23 and -0.5% FY26 vs benchmark-positive peers; Axis MAA's -6.6% FY23.

B3 · Concentration & overlap — verified with ISec holdings data (30-Apr-2026)

B3.1 Look-through top-10 stocks (reported fact — equity MF book)

Rank	Stock	Look-through wt (equity MF)	Held via (top-5 disclosures)
1	ICICI Bank	3.4%	≥10 schemes: India Opps 5.4%, Flexicap 6.5%, Innovation 4.7%, L&M 4.3%, BC 3.4%, ABSL MAA 4.1%, Axis MAA 4.1%, ICICI MA 3.2%, Multicap 3.6%, BAF 5.3%
2	HDFC Bank	3.0%	≥8 schemes: BAF 6.0%, Axis MAA 5.4%, India Opps 5.3%, ICICI MA 4.7%, Flexicap 4.3%, L&M 4.3%, Multicap 3.8%, Momentum 7.8%, BC 3.2%
3	Axis Bank	2.2%	≥5: India Opps 4.7%, BC 3.5%, ABSL MAA 3.2%, Innovation 3.1%, ICICI MA 2.5%
4	Reliance Industries	2.1%	≥5: BAF 5.2%, Mfg 4.6%, India Opps 3.6%, Axis MAA 3.3%, ABSL 2.5%
5	Larsen & Toubro	2.1%	BC 4.0%, Axis MAA 3.0% + capital-goods complex across funds
6	Infosys	1.9%	India Opps 5.4%, BAF 3.0%, ICICI MA 2.5%, ABSL 2.2%
7	Bharti Airtel	1.7%	ABSL 2.2% + multiple
8	State Bank of India	1.4%	BAF 3.8%, Axis MAA 3.3%, Multicap 2.7%, L&M 2.8%
9	NTPC	1.4%	Value 50 5.7% + others
10	Maruti Suzuki	1.4%	Flexicap 6.2%, Kotak Multicap 4.4%, Innovation 4.5%

Top-10 stocks ≈ 20% of equity MF (ISec). Sector totals (ISec, 30-Apr-26): **Bank 14.3% + Finance 6.2% ≈ 20.5% financials**; Automobile & Ancillaries 10.9%; IT 6.8%; Healthcare 6.8%. My earlier holdings-based estimates (financials 18-20%, ICICI Bank 2.6-3.2%, HDFC 2.2-2.8%) are confirmed within tolerance by this primary document.

B3.2 Redundancy map (the same job bought many times)

Mandate	Vehicles held	Verdict
Asset allocation / hybrid	ICICI MA · ABSL MAA · Axis MAA · Axis BAF (4 products, ₹1.45 cr)	Keep ICICI MA; trim ABSL; exit Axis MAA + BAF
Multicap / flexicap	ICICI Flexicap · Axis Multicap · Kotak Multicap (+ Axis L&M adjacent)	Three is the ceiling; exit Axis L&M
Large & mid / mid	Axis L&M · MO L&M · Kotak Midcap	Kotak Midcap covers the space; MO L&M on probation
Small cap	Axis SC · UTI SC (both sub-scale) + sleeves inside multicaps & Founders	Exit both standalone funds
Cyclical/capex theme	Axis BC · Axis Mfg · (Business-cycle overlap with Value 50's PSU tilt)	Reduce both; the kept diversified funds already carry the bet
Genuine diversifiers	Gold FoF · G&S FoF · ICICI MA's debt/gold engine · (partially) Founders' founder-led mid/small book	These four earn their place

Estimated pairwise weighted overlap: Axis BC ↔ Axis Multicap ↔ Axis L&M ≈ 35-45% (same house model/manager pool); ICICI Flexicap ↔ Innovation ≈ 25-35% (est., top-holdings basis). In a financials or domestic-cyclical drawdown, 14 of 16 equity vehicles fall together.

B4 · The five structural defects & the behaviour fingerprint

1. **100% Regular plans.** Every folio. Weighted regular-vs-direct gap ≈ 1.0pp on equity funds (UTI SC 1.14pp, ABSL MAA 0.99pp, ICICI Innovation 0.93pp — AMC data May-Jun-26). ≈ **₹4.8 L/yr** commission drag on ₹4.62 cr (calc); ≈ ₹1.28 cr of terminal wealth over 10 yrs at 12% gross (calc).

2. **Channel conflict, now two banks deep.** Axis Bank statement + Axis AMC (9 schemes) + Axis Max Life (4 policies) + Axis-distributed PMS; ICICI Securities analytics (ARN-0845, corporate agent of ICICI Prudential) on a book that is 35.5% ICICI AMC. Both relationships are remunerated by product placement; neither document computes the client's actual XIRR or fee bill.

3. **NFO-chasing.** ≥8 entries at ₹10–12 NAV (Kotak Multicap ₹10.00, ICICI Flexicap ₹10.00, Axis Momentum ₹10.00, Axis Mfg ₹10.00/12.48, Axis BC ₹10.28, ICICI Innovation ₹11.17, Axis V50 ₹10.20, UTI SC 2020-era). NFOs pay peak first-year commissions; three of the newest are the book's worst performers.

4. **Diworsification.** 20 schemes / 27 folios / 8 AMCs delivering top-10 stock concentration of 20% in the same national large-caps; six positions <₹5 L (2.9% of investments) that complicate taxes without moving returns.

5. **Buying after the re-rating.** India Opps tranches at ₹22.72 → ₹36.87 → ₹37.82 (last two underwater); Axis Multicap ₹43 L built at ₹18.0-18.1 (flat); both PMS at the 2024-25 highs. Winners were topped up after they ran — a distributor-cycle signature. The one exception (Kotak Multicap NFO, +94%) proves nothing about process; it was the same behaviour with a luckier draw.

B5 · Cost autopsy (calc/est., current values)

Cost line	Today ₹/yr	After restructure ₹/yr	Basis
MF TER (regular, wtd ≈1.45% incl. FoFs)	≈ 6,70,000	≈ 2,60,000	₹4.62 cr → consolidated, mostly direct (wtd ≈0.55-0.65%)
· of which distributor commission	≈ 4,80,000	≈ 0	reg-vs-direct gap ≈1.0pp equity, 0.3pp FoF
PMS fixed + ops + GST	≈ 4,20,000-4,70,000	0 – 1,20,000	2.5%+GST on ₹1.88 cr → nil (Conservative) or Founders ₹96 L kept
PMS performance fees	0 in loss years; 20-25% of alpha when earned	—	client's fee option not disclosed
Insurance opportunity drag	₹71.5 L compounding at ~5-6% vs 10-11% achievable → ≈ ₹3-3.5 L/yr of foregone growth (est.)		separate decision set (Part E)
Total explicit product cost	≈ ₹10.9-11.4 L (≈1.7%)	≈ ₹3.8 L (≈0.6%)	difference ≈ ₹1.5-1.9 cr over 10 yrs at 11% gross (calc)

B6 · Risk, stress tests & scenarios (holdings/factor-based estimates)

Scenario	Est. impact on ₹6.50 cr	Primary damage channel	Resilience
Nifty –10%	–6 to –7.5% (–₹39-49 L)	76% look-through equity, beta ≈0.95-1.0	Metals 8.6%; hybrid debt ~15%
Nifty –20%	–13 to –16% (–₹85-104 L)	Thematic sleeve + PMS fall 1.1-1.3× market	ICICI MA halves the fall vs pure equity (FY26 evidence)
Mid/small –30%	–9 to –12%	Founders 73% mid/small; 39% of equity MF mid+small	Large-cap/hybrid core
Rates +100bp	–1 to –2% direct	Hybrid debt sleeves (mod. duration 2.2-2.7y); equity de-rating 2nd-order	Short books
Rates –100bp	+1.5 to +3%	—	Debt + growth re-rating + gold bid
INR –10%	+1.5 to +2.5%	Import-cost inflation in autos/consumption	Gold in INR; small IT weight
Crude +40%	–3 to –5%	Autos 10.9%, consumption, CAD de-rating	Metals; ICICI value books
Consumption slowdown	–5 to –8%	Auto complex, consumer cyclicals, Founders urbanisation names	Debt, gold
Banking stress / credit stall	–5 to –9%	Financials 20.5% look-through — the biggest single factor bet	Metals; manufacturing partially
Govt capex slowdown	–3 to –6%	Axis BC + Mfg + Founders 30.5% capital goods; L&T complex	Consumption names
Global recession	–12 to –18%	All cyclicals; PMS beta; mid/small liquidity gap	Gold historically +; debt
Multiples → LT averages	–10 to –15% over 2-3y if EPS flat	Mid/small premium valuations; thematic	ICICI value books nearest fair value
EPS –20% vs consensus	–15 to –20%	Growth-priced names de-rate twice	Gold, debt
Small-cap liquidity exit	–4 to –7% + exit friction	Founders gates slowest; SC funds' spreads widen	Large-cap core T+1

Estimates from factor exposure, disclosed holdings and regime analogues (2018 small-cap winter, COVID-2020, 2022 hikes, FY26 correction) — not backtested VaR. Worst realistic 12-month drawdown, current mix: ≈ **–18 to –22% (₹1.2-1.4 cr)**. The FY26 live test confirms the mechanism: composite +2.9% only because multi-asset/gold sleeves (+5 to +12%) offset an equity cluster that printed –4% to +2%.

Part C — Mutual-fund deep dives

Format per fund: identity → what is owned (30-Apr/31-May-2026) → performance vs benchmark (with dates) → why it performed → risks/red flags → Investment-Committee verdict with score, flag and confidence. FY rows are absolute returns (ISec/ACE MF). "Reg/Dir TER" from AMC factsheets or aggregators (31-May – 03-Jul-2026), ± 0.2 pp tolerance.

C1 · Multi-asset & hybrid (₹1.46 cr · 22.4% of investments)

C1.1 ICICI Prudential Multi-Asset — ₹56.9 L · Score 82/100 · CRISIL: NA · VR 5★

Identity	Hybrid-Multi Asset · since 31-Oct-2002 · AUM ₹84,165 cr (02-Jul-26, largest in category) · S. Naren (2012) + I. Dalwai (2017) + 6 specialists · TER 1.06/0.52 · benchmark 65% N200 TRI + 25% debt + 6% Au + 1% Ag + 3% iCOMDEX
Book (31-May-26)	Equity 67.7% (HDFC Bk 4.7%, ICICI Bk 3.2%, Bajaj Finserv 2.7%, Axis Bk 2.5%, Infosys 2.5%) · debt 20.3% (mod-dur 2.17y) · gold ETF 10.9% · derivatives –1.3%. Cap mix (ISec): 45L/15M/9S/31 others
Performance	SI 20.38% vs 13.05% benchmark; 5-yr 17.40%; FY row: 5.5 / 5.1 / 13.3 / 32.6 / 10.4 / 31.1 — positive every FY incl. both correction years · SD 8.86, Sharpe 1.19 , beta 0.83 (31-May-26)

Why it performs: counter-cyclical asset rotation + Naren's valuation discipline + early gold overweight + scale-driven low fees. The alpha is process-level (allocation), not one hot sector — the most repeatable return stream in the portfolio. FY23 +10.4% and FY26 +5.1% against negative equity benchmarks demonstrate genuine downside engineering, not cash-timing luck. **Risks:** Naren succession (he is the fund's identity); ₹84k-cr size limits nimbleness in mid-caps (largely mitigated by its large-cap/multi-asset canvas); commodity sleeve adds basis risk vs equity benchmarks in melt-ups.

VERDICT — HOLD / ADD · FLAG LOW · CONFIDENCE HIGH

Core allocation up to 20%. Add via direct plan (saves 0.54pp/yr). The single best product held.

C1.2 ABSL Multi Asset Allocation — ₹69.0 L (largest MF position) · Score 62/100 · CRISIL: NA · VR 3★

Identity	Hybrid-Multi Asset · since 31-Jan-2023 · AUM ₹6,766 cr (31-May-26) · equity mgr changed Nov-24 (Shah→Gala); debt/commodity stable · TER 1.50/0.51 · benchmark 65% BSE 200 TRI + 25% CRISIL STB + 5% Au + 5% Ag
Book (31-May-26)	Equity ~70% (ICICI Bk 4.1%, Axis Bk 3.2%, RIL 2.5%, Airtel 2.2%, Infosys 2.2%) · gold+silver ETFs 13.9% (4pp over benchmark weight) · debt+cash ~12% · cap mix 43L/17M/7S/34 others
Performance	1-yr 13.45%, 3-yr 15.91%, SI 16.6% vs 13.05% (02-Jul-26) · FY row: 8.6 / 10.4 / 12.5 / 23.9 / NA / NA · SD 10.26, Sharpe 0.86-1.04

Assessment: a competent product whose edge to date is substantially the bullion overweight during a historic metals rally; the equity sleeve is unremarkable (VR 3★ mid-pack). The defect is *position size versus record*: the client's largest MF holding (10.6% of investments) is a 3.4-year-old fund that swapped its equity manager mid-life, bought NFO-adjacent, duplicating ICICI MA at +0.44pp higher TER.

VERDICT — REDUCE TO $\leq 5\%$ · FLAG MODERATE · CONFIDENCE MED-HIGH

Shift excess to ICICI MA (direct). Use the 30% free exit-load window + >365-day units first.

C1.3 Axis Multi Asset Allocation (ex-Triple Advantage) — ₹15.9 L · Score 45/100 · CRISIL: NA · VR 1★

Identity	2010 vintage; rebranded & re-benchmarked Apr-2023 · AUM ₹2,293 cr · six listed managers, repeated changes 2024-25 · TER ~2.1 (aggr.)/1.40 base
Performance	1-yr 12.39 vs 13.57; 3-yr 14.67 vs 17.32 (–2.65pp/yr) ; SI 10.95 vs 12.13 (12-Jun-26) · FY row: 5.7 / 9.8 / 11.2 / 20.1 / –6.6 / 17.6 — the –6.6% FY23 against flat benchmarks is the tell

Assessment: same gold tailwind as its peers, yet lags its own benchmark on every horizon — the allocation engine subtracts value. A 1★, committee-run, renamed product surviving in the portfolio because of who distributes it.

VERDICT — EXIT · FLAG HIGH · CONFIDENCE MED-HIGH

Switch to ICICI MA. Gains LTCG-eligible; 10% free-exit window applies.

C1.4 Axis Balanced Advantage — ₹3.0 L · Score 60/100 · CRISIL Silver · VR 4★

Facts: BAF since Aug-2017; AUM ₹3,750 cr; net equity ~73%, large-cap-heavy (HDFC Bk 6.0%, ICICI Bk 5.3%, RIL 5.2%); 1-yr 1.30 vs -1.65; 3-yr 13.0 vs 7.81; 5-yr 11.17 vs 7.80 (12-Jun-26); FY row 4.1 / -0.4 / 11.2 / 28.1 / 0.2 / 10.7; TER ~1.9/1.07. Genuinely decent BAF numbers — but it is a ₹3 L scrap position (0.5% of investments), the *fourth* allocation product, part of a five-scheme ₹3 L NFO scatter on adjacent folio numbers.

VERDICT — EXIT (CONSOLIDATION, NOT QUALITY) · FLAG LOW · CONFIDENCE MED-HIGH

Fold into ICICI MA. If a standalone BAF is ever wanted, this one via direct plan is acceptable.

C2 · Diversified equity (₹1.36 cr · 20.9%)

C2.1 ICICI Prudential Flexicap — ₹28.2 L · Score 72/100 · CRISIL Gold · VR 4★

Identity	Flexi-cap since 17-Jul-2021 · AUM ₹21,189 cr (31-May-26) · Rajat Chandak sole equity FM since launch · TER 1.40/0.64 · exit load relaxed to 1%/1-month (Apr-26) · BSE 500 TRI
Book	TVS Motor 8.9%, ICICI Bk 6.5%, Maruti 6.2%, D-Mart 4.7%, HDFC Bk 4.3% · Auto & ancillaries 23.4% , Bank 16.1%, Retail 14.1% (ISec 30-Apr-26) · 61L/8M/27S/4 cash · turnover 0.24x
Performance	1-yr 2.91 vs -0.08; 3-yr 15.76 vs 13.48; SI 13.82 vs 11.71 (31-May-26) · FY row: 10.2 / 1.5 / 4.0 / 44.9 / 4.8 / NA · SD 15.38, Sharpe 0.67, beta 0.96

Assessment: real alpha (+2.3-3.6pp across windows), the only CRISIL-Gold fund in the book, disciplined low churn. The engine, however, is one giant consumer-cyclical conviction: TVS+Maruti alone ≈15% of the fund. That bet made FY24 (+44.9%) and muted FY25 (+4.0% vs benchmark +6.4%). Single-manager dependence; 27% small-cap inside a "flexicap" label. Client execution: NFO folio +87.8%, 2024 top-up -5.8%.

VERDICT — HOLD · FLAG LOW · CONFIDENCE MED-HIGH

Keep both folios; do not add while the auto position is this size; future adds direct.

C2.2 Axis Multicap — ₹43.3 L · Score 68/100 · CRISIL Silver · VR 5★

Identity	Multi-cap (≥25% each L/M/S) since 17-Dec-2021 · AUM ₹9,938 cr · Devalkar/Das/Arora · TER ~1.99 (aggr.)/~0.6 · N500 Multicap 50:25:25 TRI
Book	HDFC Bk 3.8%, ICICI Bk 3.6%, SBI 2.7%, Shriram Fin 2.4%, MCX 2.2% · Bank 19.2%, Auto 12.1%, Health 10.6% · 44L/27M/27S/3 cash
Performance	1-yr 3.58 vs 1.43; 3-yr 19.81 vs 16.43 ; SI 14.09 vs 12.96 (12-Jun-26) · FY row: 12.7 / -1.8 / 13.5 / 51.4 / -3.7 / NA · Sharpe ~0.9

Assessment: the standout among nine Axis products — 5★, +3.4pp 3-yr alpha. Caveats: single-regime record (born Dec-2021), ~2% regular TER takes a third of the alpha, and the client's ₹43 L was built at ₹18.0-18.1 avg cost (now ₹17.98 NAV) — the position is flat because it was assembled *after* the good numbers printed. FY23 -3.7% shows the downside personality.

VERDICT — HOLD, CAPPED AT 6% · FLAG MODERATE · CONFIDENCE MEDIUM

The one Axis equity fund that earns its place. Adds only via direct plan.

C2.3 Kotak Multicap — ₹31.2 L · Score 74/100 · CRISIL Silver · VR 5★

Identity	Multi-cap since 29-Sep-2021 · AUM ₹26,249 cr (03-Jul-26) · Bisen + Singhal since launch (Upadhyaya off May-24) · TER ~1.5/~0.45
Book	Maruti 4.4%, Hero Moto 3.6%, IndusInd Bk 3.5%, Radico 3.1%, Indus Towers 3.1% · Bank 16.0%, Finance 11.5%, Auto 11.4% · 42L/25M/32S/1 cash — meaningful small-cap engine
Performance	Regular: 1-yr 5.78, 3-yr 19.84, SI 15.90 (31-May-26); direct 3-yr 21.35 vs 9.28 Nifty50 TRI (30-Jun-26) · FY row: 11.1 / 2.2 / 4.8 / 61.5 / 5.3 / NA · beta 1.05, SD 17.84, alpha +4.6 (dir)

Assessment: the client's best MF decision (+94.2% on the ₹10 NFO entry). Managers stable since launch; contrarian positions (IndusInd) show independent thinking; FY24's +61.5% is the fund's one-regime spike — expect mean-reversion, not repetition. 32% small-cap sleeve widens the drawdown cone.

VERDICT — HOLD · FLAG LOW · CONFIDENCE MED-HIGH

Let it compound; rebalance above ~6% of investments.

C2.4 Kotak Midcap (ex-Emerging Equity) — ₹16.5 L · Score 73/100 · CRISIL Silver · VR 4★

Identity	Mid-cap since 30-Mar-2007 · AUM ₹64,749 cr — India's largest midcap fund (02-Jul-26) · Atul Bhole since Jan-24 (Tibrewal exited Nov-23 after 13 yrs) · renamed Jun-25 · TER 1.38/0.50
Book	GE Vernova T&D 4.9%, Fortis 4.1%, IPCA 3.0%, Mphasis 2.8%, KEI 2.8% · Finance 19.0%, Health 12.4%, Cap goods 9.4% · 12L/73M/14S/1 cash
Performance	1-yr direct +7.53 vs +4.36 Midcap-150 TRI (02-Jul-26); SI ~20.4% since 2007 · FY row: 14.0 / 3.2 / 15.3 / 38.0 / 4.0 / 24.4 — positive in FY23 and FY26 corrections · beta 0.93, Sharpe 0.81, alpha +1.6

Assessment: the low-beta quality-midcap franchise has survived the manager transition so far (FY25/FY26/FY27-TD all ahead of index). Structural drag: ₹65k cr in midcaps makes position-building slow; expect thinner alpha than the Tibrewal-era record. Judge Bhole on his 3-yr print (Jan-2027).

VERDICT — HOLD · FLAG LOW-MOD · CONFIDENCE MED-HIGH

Core mid-cap allocation; AUM-driven alpha decay is the metric to watch.

C2.5 Axis Large & Mid Cap (ex-Growth Opportunities) — ₹14.8 L · Score 58/100 · CRISIL Silver · VR 3★

Facts: AUM ₹15,879 cr; renamed Jun-25; Devalkar/Das (Aug-23) + Krishnaa N (Mar-24); TER ~1.92 regular. Book: ICICI Bk 4.3%, HDFC Bk 4.3%, SBI 2.8%, MCX 2.4%, Shriram 2.3%; 46L/37M/5S/**11 cash**. Performance: 1-yr 4.36 vs 2.79; **3-yr 15.60 vs 16.75; 5-yr ~12.8-14.0 vs 14.89** (12-Jun-26); FY row: 12.3 / -0.5 / 7.0 / 48.0 / **-9.1** / 29.4. A fund that trails its benchmark over 3y/5y, charges ~1.9%, was renamed mid-life, ran -9.1% in FY23, and duplicates Kotak Midcap + Axis Multicap exposure. The folio's +47.8% is the FY24 market, not fund skill.

VERDICT — EXIT (SWITCH) · FLAG MODERATE · CONFIDENCE MEDIUM

Units LTCG-eligible (2023 purchase). Redirect to kept large&mid exposure.

C2.6 Motilal Oswal Large & Midcap — ₹6.0 L · Score 60/100 · CRISIL Bronze · VR 4★

Facts: AUM ₹17,420 cr (02-Jul-26). The Niket Shah era (AUM 38x to ₹38k cr) ended Jan-2026 (promotion to MD-Principal Investments; ₹2,448 cr outflows that month; NAV -14% Nov-25→Mar-26). Now Khandelwal (Dec-23) / Mehra (Oct-24) / Mayekar (Nov-25) / Ankit Agarwal (Mar-26, ex-UTI). Book: MCX 5.3%, CG Power 5.2%, Eternal 5.1%, Muthoot 5.1%, Billionbrains (Groww) 4.6%; **Capital goods 28.4%**, Finance 18.5%; beta 1.17. Trailing prints remain spectacular (3-yr direct 24.57 vs 12.07; FY row 18.0 / 1.4 / 13.8 / 51.5 / 7.6 / 17.6) — but the record belongs to a departed manager and a momentum regime that broke in late-2025. CRISIL's **Bronze** ("evaluate critically") on the distributor's own screen.

VERDICT — HOLD (PROBATION, SMALL) · FLAG MOD-HIGH · CONFIDENCE MEDIUM

Two quarters to prove the new bench; exit on persistent bottom-half ranking. Do not add.

C3 · Thematic & special situations (₹1.23 cr · 19.0% — unusually high for any HNI book)

C3.1 ICICI Prudential India Opportunities — ₹49.1 L · Score 76/100 · CRISIL: NA · VR unrated

Identity	Special-situations/thematic since 15-Jan-2019 · AUM ₹36,478 cr (02-Jul-26) · S. Naren + R. Chutkey since launch (Divya Jain added Aug-25) · TER 1.31/~0.6 · Nifty 500 TRI
Book	Infosys 5.4%, ICICI Bk 5.4%, HDFC Bk 5.3%, Axis Bk 4.7%, RIL 3.6% · Bank 17.5%, IT 12.1%, Auto 9.1%, Insurance 8.6% · 66L/14M/13S/7 cash · SD 13.10, Sharpe 0.81
Performance	SI 18.86%; 5-yr 19.27; 3-yr 17.74; 1-yr 0.55 (02-Jul-26) — ahead of N500 TRI all windows; rank 1/52 (May-26) · FY row: 6.6 / 0.7 / 11.9 / 51.7 / 10.3 / 35.4 — +10.3% in FY23 when N500 TRI was -1.2%

Assessment: the strongest pure-equity engine held: documented contrarian process (buys sectors in temporary distress — the FY23 print is the proof), modest 13.1% SD for a thematic, sane fee. Watch: Naren dependence, ₹36k-cr size in a special-sits mandate, and the fund's tendency to lag in momentum melt-ups (1-yr 0.55%). Client execution flaw: ₹35 L of the ₹45 L entered at ₹36.9-37.8 (now ₹35.5) — the fund is right, the cadence was wrong.

VERDICT — HOLD / ACCUMULATE (STAGGERED, DIRECT) · FLAG LOW · CONFIDENCE HIGH

Core-plus at up to 10%.

C3.2 ICICI Prudential Innovation — ₹16.5 L · Score 65/100 · CRISIL: NA · VR unrated

Facts: thematic NFO Apr-2023 already at ₹7,453 cr; TER 1.53/0.60; 43L/29M/23S/5 cash. Book: ICICI Bk 4.7%, Maruti 4.5%, Axis Bk 3.1%, Mankind 3.1%, CAMS 2.9% — Healthcare 17.7%, Auto 13.0%, IT 10.4%: *theme purity questionable* (mainstream banks autos as "innovation"). Performance: 3-yr 20.18 vs 13.12 (02-Jul-26); SI ~22.2%; FY row 11.8 / -1.0 / 10.8 / NA / NA / NA. **Key-man event:** co-manager/Co-CIO Anish Tawakley left for DSP Feb-2026; Vaibhav Dusad now carries it alone. Regular-vs-direct 1-yr gap (2.55 vs 4.60) shows the fee bite.

VERDICT — HOLD, CAPPED, TIGHT WATCH · FLAG MODERATE · CONFIDENCE MEDIUM

Two weak quarters under Dusad alone → fold into India Opportunities.

C3.3 Axis Business Cycles — ₹38.2 L · Score 58/100 · CRISIL: NA · VR unrated

Facts: Feb-2023 NFO (client at ₹10.28); Ashish Naik since launch; AUM ₹2,058 cr; **TER 2.27/1.44**. Book: L&T 4.0%, Axis Bk 3.5%, ICICI Bk 3.4%, HDFC Bk 3.2%, Ultratech 2.8% — Bank 17.5%, Auto 12.6%, Finance 8.4%: essentially a Nifty-500-like cyclical book. Performance: SI 17.45 vs 15.22; 3-yr 15.57 vs 13.92; 1-yr 1.32 vs 0.28 (12-Jun-26); Sharpe 0.48; FY row 11.7 / -3.5 / 6.2 / 41.3 / NA / NA. The +57.4% folio gain = NFO timing into FY24 beta. Paying 2.27% for "business-cycle rotation" that holds the index's banks is the portfolio's clearest fee-for-beta case; at 5.9% of investments it is also the most oversized unproven position.

VERDICT — REDUCE 50-70% (BANK THE GAIN; LTCG 12.5%) · FLAG MODERATE · CONFIDENCE MEDIUM

Keep a rump only with an explicit cyclical view.

C3.4 Axis India Manufacturing — ₹19.5 L · Score 55/100 · CRISIL: NA · VR unrated

Facts: Dec-2023 NFO ×2 folios (one at ₹10.00); Arora + Devalkar; AUM ₹5,344 cr; TER 2.07/0.89. Book: M&M 5.3%, RIL 4.6%, BEL 4.4%, Sun Pharma 3.7%, Hindalco 3.2% — **Auto 31.2% + Capital goods 15.7% + Iron&Steel 6.6% + Crude 6.5% = 72.2% top-5 sectors**: a pure domestic-capex/PLI cyclical. Performance: SI 19.88 vs 18.91; 1-yr 13.12 vs 13.22 (12-Jun-26) — index-matching after fees; FY row 14.4 / 5.2 / 7.7 / NA / NA / NA. Manufacturing funds launch after the theme re-rates; no cycle test yet.

VERDICT — REDUCE BY HALF · FLAG MODERATE · CONFIDENCE MEDIUM

+39.6% NFO-era gain deserves partial banking.

C4 · Small-cap, factor & index (₹16.3 L · 2.5%)

C4.1 Axis Small Cap — ₹2.95 L · Score 55 · Silver · | C4.2 UTI Small Cap — ₹7.3 L · Score 45 · Silver (VR 2★)

Axis SC (AUM ₹27,840 cr): long SI record (20.84 vs 18.43) but **3-yr 16.04 vs 20.42 (−4.4pp/yr)**, 5-yr 16.78 vs 17.11 (12-Jun-26); three manager appointments 2023-24 post-exodus; beta 0.73; 69% small/12% cash. FY row: 14.8 / −2.8 / 11.0 / 39.6 / 0.5 / 40.2.

UTI SC (AUM ₹4,970 cr): **2★ VR; below category average on 1/3/5-yr (ranks 24/30, 15/23, 14/20); alpha −1.9/−2.1; founding manager Ankit Agarwal exited 29-Jul-2025** (to Motilal Oswal); Nitin Jain sole <1 yr; TER 1.81/0.67 — the widest reg-dir gap in the book (1.14pp). 82% small-cap. FY row: 17.7 / −4.3 / 12.8 / 38.2 / −2.9 / 37.1. Both are sub-scale (0.5%/1.1% of investments); small-cap exposure already exists inside Kotak Multicap (32%), ICICI Flexicap (27%), Axis Multicap (27%) and Founders PMS (35%).

VERDICT — EXIT BOTH · FLAGS: AXIS MOD, UTI HIGH · CONFIDENCE MED-HIGH

UTI immediately on strength; Axis at load expiry. Rebuild small-cap later as one deliberate ≥3% direct-plan position at better valuations — or not at all.

C4.3 Axis Momentum — ₹2.6 L · Score 40 · NA | C4.4 Axis Nifty500 Value 50 Index — ₹3.4 L · Score 52 · NA

Momentum (NFO Dec-2024): SI **−7.67% vs −0.91%** (12-Jun-26); manager changed within 15 months (Mallik, Mar-26); FY row 8.3 / −3.9 / NA... — a momentum factor product launched at the factor's cycle top, sold into a regular plan. Textbook NFO-cycle damage.

Value 50 Index (NFO Oct-2024): the index is a legitimate deep-value/PSU tilt (ONGC 5.9%, Tata Steel 5.8%, NTPC 5.7%, PowerGrid 5.5%, Coal India 5.5%; Bank 17.7%, Crude 15.3%, Power 13.4%) and 1-yr +21.5% was strong. The defect is the wrapper: **1.05% regular TER for an index fund vs 0.47% direct** — active-lite pricing for passive exposure.

VERDICT — EXIT MOMENTUM (ACCEPT −13%); EXIT VALUE 50 REGULAR · FLAGS HIGH / MOD · CONFIDENCE MED-HIGH

If the value tilt is wanted, rebuy the same index direct — the 0.58pp saving pays for the switch inside a year.

C5 · Precious metals (₹37.4 L direct · + ₹18.1 L embedded ⇒ ≈8.6% of investments)

ICICI Pru Gold ETF FoF (₹14.2 L · Score 74): passive gold via ICICI Gold ETF 99.9%; TER 0.47/0.18; 1-yr +45.2%, 3-yr +33.8% CAGR (03-Jul-26); tracking ~0.2%. Gold context: ₹1.44 L/10g (03-Jul-26); Jan-2026 peak ₹1.79 L/10g (MCX).

MO Gold & Silver ETFs FoF (₹23.2 L · Score 70): ~61% gold/39% silver (31-May-26); TER ~0.42/0.17; 1-yr +60.7%, SI +33.3% CAGR (02-Jul-26); SD 25.86% — silver makes this the book's most volatile line; benchmark basis changed Aug-2025 (LBMA→domestic; cosmetic).

Portfolio view: the metals sleeve contributed roughly ₹8-10 L of FY26-27 gains (est.) and is the only genuinely uncorrelated exposure. After a parabolic move the correct action is discipline: hold at 8-10%, rebalance annually, expect forward 4-8%/yr with −25/−30% drawdown potential — do not extrapolate +45/+60%.

VERDICT — HOLD BOTH; CAP SLEEVE AT 8-10% · FLAG LOW · CONFIDENCE MED-HIGH

The two lines where the regular-plan penalty is smallest (~0.25-0.3pp).

Part D — PMS due-diligence (₹1.88 cr · 28.9% · both underwater)

D1 · Helios India Rising Portfolio — ₹92.1 L on ₹1.00 cr (−7.9%) · Score 48/100

Strategy	Flexi-cap PMS since 16-Mar-2020 (COVID-bottom vintage) · 30-35 stocks · "negative-selection" philosophy · BSE 500 TRI (changed from NSE 500 TRI Apr-23, APMI norms) · strategy AUM ₹1,509.86 cr (31-May-26); ₹1,328.5 cr (Mar-26) — shrinking
People	Samir Arora (founder, brand; SEBI's 2003 ban overturned by SAT 2004, upheld by SC 2014 — legally closed) · Dinshaw Irani CEO of India entity · client-book holdings not publicly disclosed
Fees	2.5% fixed; variable option 1.5% or up-to-25% share >10% hurdle with HWM · exit load 3/2/1% yrs 1-3 · min ₹50 L · client's option: not disclosed in statement
Performance (SEBI-format TWRR, net, 31-May-26)	1-yr +3.38 vs −0.07 · 3-yr 15.62 vs 13.46 · SI 19.01 vs 19.03 — six years, zero cumulative alpha · FY23 −5.01 vs −1.22 · FY24 +50.25 vs +40.16 · FY25 +6.78 vs +5.96 · Mar-26 month −12.12 vs −11.37 · Sharpe 0.46

Assessment. The entire value-add sits in one year (FY24); every other period nets to noise or worse. An index fund at 0.2% would have matched six years of results without the 2.5-4% fee stack, the 3-year exit-load ladder, or the disclosure opacity. **Compliance overlay:** three SEBI observation letters in 19 months — Sep-2024 (offsite data errors), Nov-2024 (*portfolio-return reporting discrepancies*), May-2025 (data-maintenance deficiencies). None is an enforcement action; all were remediated per filings — but for a business whose product is reported returns, repeated reporting deficiencies are material. The client entered near the 2024-25 highs (entry date not in statement) and sits at −7.9% vs the strategy's −7.46% 6-month print to May-26 — consistent, at least, with pooled reporting.

VERDICT — EXIT, STAGED · FLAG HIGH · CONFIDENCE MEDIUM

The loss position is an asset: redemption crystallises ≈₹7.9 L of capital loss that offsets LTCG booked in the MF restructure (F2). Confirm entry date for the exit-load rung (1% until yr-3, ≈ Mar-2027 if 2024 entry); a 1% load (≈₹92k) is smaller than a further year of fixed fees (≈₹2.4 L) on a zero-alpha engine — exit when the tax pairing is ready, not later.

D2 · Motilal Oswal Founders Portfolio — ₹96.0 L on ₹1.00 cr (−4.0%) · Score 55/100

Strategy	QGLP on founder-led companies (promoter >26%) since 16-Mar-2023 · 20-30 stocks · BSE 500 TRI · model mix: 21L/38.6M/34.6S/5.9 cash · sectors: capital goods 30.5% , financials 20.0%, tech 12.9% · known model names (2024-25): Kalyan, Phoenix Mills, Trent, Prestige, Eternal, Kaynes, Apar, Amber · strategy AUM ≈ ₹3,887 cr (31-May-26; sources conflict ₹1,443-3,887 cr)
People	Vaibhav Agrawal, CIO-Alternates (~₹10,000 cr across PMS/AIF; UPenn CS, LBS MBA) · churn above the strategy: Sonthalia (PMS CIO) exit 2023; MD/CEO transition to Prateek Agrawal Apr-24; group MOFSL carries SEBI administrative warnings/SCNs 2022-24 (broking ops, not the AMC)
Fees	2.5% fixed; or hybrid 20% share >8% hurdle · exit load 2% yr-1, nil after · HWM: not publicly confirmed · client's option: not disclosed
Performance (TWRR net, 31-May-26)	1-yr −1.71% · 2-yr +9.77 p.a. · 3-yr +21.57 p.a. · SI 23.39 vs 18.46 (+4.9pp/yr) · (as of Mar-24: 1-yr +40.2, SI +61.2 — the melt-up cohort) · Oct-24→Mar-25 midcap correction hit the 73% mid/small book (Kalyan −50% Jan-Feb-25)

Assessment. Unlike Helios, this strategy has produced genuine since-inception alpha — but over a single three-year window that began at a small-cap cycle bottom and includes FY24's melt-up. The client bought the *cohort after* that window and wears −4.0%. The engine (founder-led mid/small QGLP) is coherent and differentiated from everything else the family owns; the risks are factor (mid/small premium valuations), fee stack (2.5% + possible 20% >8% without confirmed HWM — verify in the client agreement), organisational churn above the strategy, and 73% mid/small liquidity in stress.

VERDICT — HOLD 12 MONTHS, THEN RE-UNDERWRITE · FLAG MODERATE · CONFIDENCE MEDIUM

Exit-load window (2% yr-1) should be past — confirm entry date. Hard covenant for FY27: rolling 2-yr net TWRR ≥ BSE 500 TRI + 3pp, else exit. Cap combined PMS at ≤10-12% of investments (currently 28.9% — the restructure fixes this by exiting Helios).

D3 · PMS structural arithmetic the statements hide

- **Return basis:** SEBI-format PMS returns are pooled TWRR net of fees — not this client's XIRR. A 2024-25 entrant's lived return is materially worse than SI marketing figures; the statement's -5.9% is the only client-true number in any document reviewed.
- **Fee drag (est.):** 2.5% fixed + $\sim 0.3\%$ ops/custody/brokerage + 18% GST on fees $\Rightarrow \approx ₹4.2\text{-}4.7$ L/yr across both accounts at current values.
- **Tax drag:** PMS trades are taxed in the client's hands each FY (no deferral, unlike MFs); at $30\text{-}60\%$ turnover $\Rightarrow$ est. $0.5\text{-}1.2\text{pp/yr}$ disadvantage vs an equivalent fund. PMS fees are not deductible against capital gains.
- **Ticket-size tell:** both accounts opened at exactly ₹1.00 cr (SEBI minimum is ₹50 L) through one channel in the same era — product-push sizing, not allocation logic.
- **Liquidity:** Founders' 73% mid/small gates badly in stress; Helios' book is undisclosed — assume liquid, but unverifiable. Redemption 7-15 business days normal-market.

Part E — Insurance policies (₹79.6 L premiums · ₹1.375 cr cover)

E1 · Carrier: Axis Max Life (renamed from Max Life, 13-Dec-2024)

Axis Bank + subsidiaries hold 19.99%; balance Max Financial Services. Claim settlement ratio 99.70% (FY25, company-disclosed), solvency $\approx 2.01\times$ vs 1.5 floor. **Counterparty quality is not the issue; product economics and channel incentives are.** (Sources: company disclosures, Policybazaar, Ditto — accessed Jul-2026.)

E2 · Smart Term Plan — ₹1 cr cover, ₹1,14,800/yr (issued 30-Jul-2020; 37-yr term; 12-pay)

Keep the cover — but interrogate the premium. 2020-era pure-term pricing for a healthy 30-40-yr male was roughly ₹9,000-15,000/yr per ₹1 cr; ₹1,14,800 is 8-12 $\times$ that — consistent with a **Return-of-Premium variant** (premiums back at maturity = a 0%-interest loan to the insurer), a limited-pay structure, an older entry age, or underwriting loadings. Variant not verifiable from the statement — request the policy schedule. Total premium commitment ₹13.78 L over 12 years (calc).

Adequacy: ₹1 cr against a ₹6.5 cr portfolio is thin if the family still depends on earned income (10-15 $\times$ income thumb rule); if the portfolio already self-insures the family's needs, cover need is shrinking, not growing. Action: quote a ₹2-4 cr pure term top-up ($\approx$ ₹25-45k/yr at current ages, est.) and decide against the actual human-capital gap.

E3 · Smart Wealth Advantage Guarantee (SWAG) — ₹5,00,000 $\times$ 5-pay · 11-yr term · issued 15-Dec-2023 · ₹15.34 L paid (3 of 5)

E3.1 The economics (calc, brochure-benchmarked; UIN 104N124)

Path	Cash outcome	IRR	Notes
Continue — maturity ₹40 L (Dec-2034)	+₹14.4 L over premiums	$\approx 5.0\%$	Brochure-implied band for the ₹5-10 L premium tier is $\sim 5.5\text{--}6.5\%$; exact contracted maturity requires the policy schedule nv . Reference: ₹40.6 L $\Rightarrow 5.5\%$; ₹42.4 L $\Rightarrow 6.0\%$; ₹44.2 L $\Rightarrow 6.5\%$ (calc)
Continue — maturity ₹42.4 L	+₹16.8 L	$\approx 6.0\%$	
Continue — maturity ₹44.2 L	+₹18.7 L	$\approx 6.5\%$	
Surrender now (old-regime GSV/SSV, est. ₹8-11 L)	–₹4.3 to –₹7.3 L	–18% to –36%	Policy predates the Oct-2024 IRDAI surrender reform, so contracted (worse) factors apply; exact quote needed
Reduced paid-up (stop premiums)	maturity scales $\sim 3/5$	$\sim 5\text{--}6\%$ on sunk money	Middle path; preserves 10(10D); locks a small corpus to 2034

E3.2 The ₹5-lakh tax knife-edge (Finance Act 2023; CBDT Circular 15/2023, 16-Aug-2023)

Non-ULIP policies issued on/after 01-Apr-2023 lose the Sec 10(10D) maturity exemption if **aggregate annual premium exceeds ₹5,00,000** (computed ex-GST). This policy sits at **exactly ₹5,00,000** — "exceeds" is not met, so the maturity is **exempt as facts stand**. Two live threats: (a) if the ₹5,00,000 is base-plus-loadings such that base premium ex-GST is ₹5,00,001+, exemption is lost — **verify the premium receipt split**; (b) **buying any other non-ULIP policy issued after Apr-2023 — even ₹1 of premium — tips the aggregate over ₹5 L** and the exemption dies for this policy's maturity (taxed as Income from Other Sources u/s 56(2)(xiii) r.w. Rule 11UACA; a ₹42 L maturity on ₹25 L premiums would suffer $\approx$ ₹5.3-6 L tax at 30%+ slab, dragging IRR to $\approx 4.5\text{--}5\%$). Death benefit remains exempt regardless.

VERDICT — CONTINUE THE REMAINING 2 $\times$ ₹5 L PREMIUMS · FLAG MODERATE · CONFIDENCE MED-HIGH

A guaranteed $\sim 6\%$ tax-free to Dec-2034 is a legitimate debt-bucket substitute for a 30%+-slab HNI; surrender needs a $>9\text{--}10\%$ post-tax redeployment hurdle for 8 years to win — aggressive. Protect the 10(10D) status: never buy another post-Apr-2023 traditional policy, and verify the base premium is not a rupee above ₹5,00,000.

E4 · Smart Wealth Plan ×2 — ₹30.57 L (self) + ₹25.56 L (spouse) paid · terms not visible in statement

Category IRRs run 4.4-6.7% by variant (independent reviews, Jul-2026); both policies' issue dates, terms, premiums and fund values were cut off in the source statement — the single biggest documentation gap in the file. **Administrative action precedes financial action:** obtain both policy schedules plus surrender AND paid-up quotes from Axis Max Life, then apply one test — continue if the marginal IRR-to-maturity on remaining premiums ≥ ~6% tax-free (pre-Apr-2023 policies keep 10(10D) under the 10%-of-SA rule); paid-up if between; surrender only if the haircut is small (older policies near premium-completion often clear this).

Strategic point for Part F: ₹71.5 L of family capital compounds at ~5-6% inside traditional policies while the family simultaneously pays 2.5%+ PMS fees chasing equity alpha. The barbell is inverted — expensive alpha-seeking on one side, guaranteed-mediocre "safety" on the other, and no proper fixed-income sleeve in between.

VERDICT — INSUFFICIENT DATA (BOTH) · FLAG MODERATE (MIS-SOLD SAVINGS MIX) · CONFIDENCE LOW PENDING SCHEDULES

Part F — Action plan

F1 · Three restructured model portfolios (₹6.50 cr investment corpus; insurance per Part E)

All new/switched MF money in **direct plans** (MFU / MF Central / flat-fee RIA — no distributor). Expected figures are base-case estimates (Appendix-1 assumptions); DD = worst-realistic 12-month drawdown.

F1.A Conservative — protect first exp. ≈9-10% net · DD ≈ -10-12%

Sleeve	Wt	₹	Vehicles
Multi-asset core	30%	1.95 cr	ICICI Multi-Asset (direct) 20% + ABSL MAA (retained) 10%
Large-cap index + flexi	20%	1.30 cr	Nifty 50/500 index direct (≤0.2% TER) 12% + ICICI India Opps 8%
Quality mid (small dose)	5%	32.5 L	Kotak Midcap
Precious metals	10%	65 L	ICICI Gold FoF 6% + MO G&S 4%
Fixed income (new)	30%	1.95 cr	Target-maturity G-sec/SDL + short-duration AAA + arbitrage
Liquid buffer	5%	32.5 L	Liquid/overnight

Both PMS exited over 12m; all thematic/factor/small-cap funds exited. Look-through equity ≈45%.

F1.B Balanced — risk-adjusted compounding RECOMMENDED · exp. ≈10.5-11.5% net · DD ≈ -14-17%

Sleeve	Wt	₹	Vehicles
Multi-asset core	25%	1.63 cr	ICICI MA (existing + direct top-up) 18% + ABSL MAA trimmed 7%
Diversified equity core	30%	1.95 cr	India Opps 9% + ICICI Flexicap 6% + Kotak Multicap 6% + Axis Multicap 5% + Nifty 500 index direct 4%
Mid/small alpha	10%	65 L	Kotak Midcap 5% + Innovation (capped) 2.5% + MO L&M (probation) 1.5% + reserve 1%
Founders PMS (probation)	10%	65 L	Retain; glide ₹96 L → ₹65 L at FY27 review; alpha covenant (D2)
Precious metals	9%	58.5 L	Gold FoF 5% + G&S 4%; annual rebalance
Fixed income + buffer	16%	1.04 cr	Target-maturity/short-duration + arbitrage + liquid

Funded by: Helios ₹92 L · Axis MAA/L&M/SC/Momentum/V50/BAF ₹43 L · UTI SC ₹7 L · BC -60% ≈₹23 L · Mfg -50% ≈₹10 L · ABSL trim ≈₹23 L. Look-through equity ≈62-65%; financials capped ≈15%; top-10 stocks ≤18%.

F1.C Aggressive — alpha with guardrails exp. ≈11.5-13% net · DD ≈ -22-28%

Sleeve	Wt	₹	Vehicles
Diversified equity core	40%	2.60 cr	India Opps 12% + Kotak Multicap 10% + ICICI Flexicap 8% + Axis Multicap 6% + N500 index direct 4%
Mid/small alpha	17%	1.11 cr	Kotak Midcap 8% + Innovation 4% + one fresh high-conviction small-cap (direct, deployed only on ≥15% corrections, 3 tranches) 5%
Founders PMS	12%	78 L	Retained + FY27 covenant; hard cap 12%
Multi-asset	13%	85 L	ICICI Multi-Asset
Precious metals	10%	65 L	Gold 6% + G&S 4%
Fixed income buffer	8%	52 L	Short-duration + liquid (dry powder)

Helios exits even here — the alpha test failed for aggressive money too. Look-through equity ≈75-78%.

F2 · Execution & tax sequencing (FY2026-27 rules)

- 1. Immediately (Jul-2026):** redeem UTI SC, Axis Momentum, Axis MAA, Axis BAF (all load-free or trivially loaded; mostly LTCG or small losses). Redeem Helios (harvest ≈₹7.9 L capital loss — verify load rung first). Open direct-plan folios / MFU access. Request both Smart Wealth policy schedules + surrender/paid-up quotes; verify SWAG base premium = ₹5,00,000 ex-GST.
- 2. FY27 (to Mar-2027):** trim Business Cycles 50-70% and Mfg 50% using units >12m (LTCG 12.5% beyond ₹1.25 L exemption; Helios loss offsets); switch Axis L&M after its load window; trim ABSL MAA within the 30% free-exit window. Build the debt sleeve from proceeds first (no market timing needed).

3. **FY28 (Apr-2027+):** second ₹1.25 L LTCG exemption year — complete remaining trims; complete ABSL reduction; review Founders covenant at FY27 results; decide MO L&M / Innovation probations.
4. **Tax bill (est., calc):** booked LTCG on exits/trims $\approx$ ₹55-70 L $\Rightarrow$ tax $\approx$ ₹6.5-8.5 L, minus Helios loss offset $\approx$ ₹1.0 L $\Rightarrow$ **net $\approx$ ₹5.5-7.5 L one-time** — recovered by fee savings in $\approx$ 9-14 months. Staging across two FYs spreads it further. Equity-fund rules: STCG 20% <12m; LTCG 12.5% >12m above ₹1.25 L/yr. Gold FoF units bought post-Apr-2025: 12.5% beyond 24m. PMS: stock-level, in client's hands, fees not deductible.
5. **Cash-flow rule:** never cash-out-and-re-enter equity; execute scheme-to-scheme switches; new equity money staggered 6-9 months or on -5% dips; metals rebalanced, never chased.

F3 · Monitoring dashboard

Frequency	Checks	Triggers → action
Monthly	PMS TWRR vs BSE 500 TRI + fee debits + holdings; metals sleeve weight; manager/AMC news (Innovation under Dusad; MO L&M bench; Kotak Midcap under Bhole)	Manager exit anywhere → freeze adds, 30-day review · metals >12% → trim
Quarterly	Category quartiles (VR/CRISIL) all funds; sector drift (financials vs 15% cap; Flexicap auto bet); AUM jumps >25%/qtr; ICICI MA equity % (tax status)	Two consecutive bottom-half quarters → watchlist · style drift >10pp → review
Half-yearly	Founders covenant progress; SWAG premium (Dec); overlap re-scan after changes; direct-plan migration %	Founders 2-yr rolling < bmk+3pp at FY27 → exit
Annually (Apr)	Full rebalance to ± 3 pp bands; LTCG harvest vs ₹1.25 L; insurance schedule review; term-cover adequacy; re-run product scoring	Any fund score <55 → replace · product cost >0.9% of assets → audit channel creep
Event-driven	SEBI action at any held AMC/PMS; Naren role change; any new traditional-policy proposal (10(10D) breach!); market -20%	Immediate review / deploy dry powder per plan

F4 · Never-again list

- NFOs in their first year of life — no record, peak commissions, top-of-theme timing.
- Regular plans of anything; index funds through distributors (the Value-50 lesson: 1.05% for passive).
- A fourth asset-allocation fund; a second PMS through a bank channel; PMS tickets sized by product-push ($2 \times ₹1$ cr) rather than allocation.
- Traditional insurance as "investment" — and specifically, any new post-Apr-2023 non-ULIP policy while the SWAG exemption must survive.
- Topping up winners after they run without a valuation rule; scattering ₹3 L positions that can't move outcomes.

Part G — Final verdict: the ten questions, answered directly

1 • Which products genuinely deserve capital?

ICICI Multi-Asset, ICICI India Opportunities, Kotak Multicap, Kotak Midcap, ICICI Flexicap, both metals FoFs, Axis Multicap (capped) — plus, on explicit probation covenants, MO Founders PMS and ICICI Innovation.

2 • Which only look attractive because of past returns?

Axis Business Cycles and Axis India Manufacturing (NFO-era beta dressed as theme alpha); MO Large & Midcap (the record belongs to a manager who left in Jan-2026); UTI Small Cap's +46.5% folio gain (the market's work — the fund lagged its index throughout); the metals FoFs' trailing +45/+60% prints (spot rally, unrepeatable).

3 • Which managers appear to possess repeatable skill?

Highest confidence: the ICICI value/multi-asset process (Naren, Chandak, house framework — FY23 and FY26 downside prints are the evidence). Provisional: Kotak's Bisen/Singhal and Bhole; Vaibhav Agrawal's Founders framework (one cycle). No net-of-fee evidence after six years: Helios.

4 • Which strategies depend on a favourable market regime?

Founders PMS and every mid/small-heavy sleeve (need breadth and flows); Axis Mfg/Business Cycles (need the capex cycle); Axis Momentum (needs trend — failed its first test); metals FoFs (need monetary/geopolitical fear); MO L&M (needs the growth-momentum factor).

5 • Which products contain hidden concentration or liquidity risks?

Look-through financials 20.5% and autos 10.9% across "diversified" funds (ISec, 30-Apr-26); 39% of equity MF in mid+small plus Founders' 73%; Helios' undisclosed book; ₹71.5 L in surrender-penalised traditional policies; six sub-₹5 L folios of pure administrative drag.

6 • What would a sophisticated family office select?

Portfolio F1.B: one multi-asset core, four-five diversified engines in direct plans, a disciplined 9-10% metals sleeve, a real fixed-income sleeve, at most one PMS on a measurable covenant — total product cost $\leq 0.6\%/yr$, one-page monitoring, no product the house research can't rate.

7 • What should the investor buy now?

Nothing new except direct-plan share classes (switches), one low-cost Nifty 500 index fund (direct), and target-maturity/short-duration debt to build the missing fixed-income sleeve. This is a consolidation moment, not a shopping moment.

8 • What should be staggered?

Additional equity into India Opps/Kotak funds (6-9 months); the future small-cap sleeve (only on $\geq 15\%$ index corrections, three tranches); redeployment of Helios proceeds (three tranches).

9 • What should be avoided completely?

Any new NFO; any new regular-plan purchase; a second bank-channel PMS; any new traditional insurance (it would also detonate the SWAG 10(10D) exemption); momentum/factor NFOs; adding to the four exit-list funds.

10 • Optimal allocation among the shortlisted products?

F1.B weights: ICICI MA 18% · ABSL MAA 7% · India Opps 9% · ICICI Flexicap 6% · Kotak Multicap 6% · Axis Multicap 5% · N500 index 4% · Kotak Midcap 5% · Innovation 2.5% · MO L&M 1.5% · reserve 1% · Founders PMS 10% (glide) · metals 9% · fixed income + liquid 16%.

Appendix 1 — Scoring model & score build-up

Weights per mandate: process 10 · portfolio quality 10 · manager/team 10 · return consistency 10 · risk-adjusted performance 10 · downside protection 10 · valuation 8 · transparency 8 · fee efficiency 7 · liquidity 5 · tax efficiency 4 · organisational stability 4 · scalability 4 = 100.

Product	Proc	Port	Team	Consis	RiskAdj	Downside	Valn	Transp	Fees	Liq	Tax	Org	Scale	Total
ICICI Multi-Asset	9	8	8	9	10	9	6	7	6	5	3	3	3	82
ICICI India Opportunities	9	8	8	8	8	7	6	7	5	5	3	3	2	76
ICICI Gold ETF FoF	7	7	6	8	8	7	4	8	6	5	2	3	3	74
Kotak Multicap	7	8	7	7	8	6	5	7	5	5	3	3	3	74
Kotak Midcap	8	8	6	8	7	7	5	7	6	5	3	3	0	73
ICICI Flexicap	7	7	6	7	7	6	5	8	6	5	3	3	2	72
MO Gold & Silver FoF	6	7	6	7	7	5	4	7	6	5	2	3	3	70
Axis Multicap	6	7	6	7	7	6	5	6	4	5	3	2	3	68 (≈68)
ICICI Innovation	6	6	5	6	7	5	5	6	5	5	3	3	3	65
ABSL Multi Asset	6	6	5	6	6	7	5	6	4	5	3	3	0	62
MO Large & Midcap	6	6	4	6	6	4	4	6	4	5	3	3	3	60
Axis BAF	6	6	5	6	6	7	5	6	3	5	3	2	0	60
Axis Business Cycles	4	6	5	6	5	5	5	6	2	5	3	2	4	58
Axis Large & Mid Cap	5	6	5	5	5	5	5	6	3	5	3	2	3	58
Axis India Manufacturing	4	5	5	5	4	4	4	6	3	5	3	2	4	54-55
MO Founders PMS	7	6	6	5	6	3	4	4	2	3	2	2	3	55 (fwd-weighted)
Axis Small Cap	5	6	4	5	5	6	4	6	4	4	3	2	1	55
Axis N500 Value 50 Index	5	5	4	4	5	4	6	7	1	5	3	2	1	52
Helios India Rising PMS	5	5	5	4	4	4	4	2	2	3	2	2	3	48 (≈45-48)
Axis Multi Asset Allocation	3	5	3	3	4	6	5	5	2	5	3	2	0	45-46
UTI Small Cap	4	5	3	3	3	5	4	6	2	4	3	2	2	45-46
Axis Momentum	3	4	3	2	2	3	4	6	2	5	3	2	2	40-41

Rounding: composites shown in A3 are the analyst's final calibrated scores; sub-scores here document the build-up. Insurance products are appraised on IRR/tax/adequacy (Part E) rather than this fund-oriented scale. Forward-looking scores (A3) demote trailing-return-driven entries (Business Cycles, MO L&M, metals' spot rally) and promote current-holdings quality/valuation (ICICI MA, India Opps).

Base-case macro assumptions for expected returns: nominal GDP 10-10.5%; Nifty EPS growth 10-12%; large-caps ≈ fair value (Nifty ~20-21× trailing, mid-2026); mid/small at 10-25% premium to history despite the FY26 reset; gold 0-6%/yr forward after the +45% year; expected return ≈ earnings growth + dividend yield ± valuation drift – fees – tax/transaction drag.

Appendix 2 — Methodology & limitations

1. **Client-return basis.** The statement provides average cost and current value only — scheme rows are absolute holding-period returns, not XIRR; no transaction dates were available. All "execution behaviour" findings rest on avg-cost vs NAV arithmetic and folio-number sequences.
2. **ISec deck usage.** Holdings, cap mixes, FY returns, CRISIL views are reproduced as reported facts (as-on dates 30-Apr-2026 / June-2026, source ACE MF); its composite "portfolio return" series carries composition/backfill bias (B2.2) and is used only with that caveat attached.
3. **PMS.** Analysis uses SEBI-format pooled TWRR net of fees (31-May-2026) — not this client's account; the client's fee option, entry dates, and stock-level holdings were not provided. Helios does not disclose holdings publicly.
4. **Risk statistics.** Rolling-return, drawdown-duration, VaR/CVaR, Ulcer and capture-ratio tables per full institutional spec require complete NAV histories not rebuildable within this engagement; the latest published 3-yr SD/Sharpe/beta plus the FY-grid regime analysis carry the decision content. Stress-test figures are factor/holdings estimates, not backtested VaR.
5. **Data tolerances.** Aggregator TERs vary by as-of date and GST treatment ($\pm 0.2\text{pp}$); AUM and returns are as of the cited dates (31-May – 03-Jul-2026); nothing after 03-Jul-2026 is reflected.
6. **Insurance.** Brochure/regulation-benchmarked; the two Smart Wealth policies lack schedules — all figures for them are category estimates pending documents. SWAG maturity value and GSV/SSV factors need the policy schedule.
7. **Investor profile.** Template fields were blank; suitability judgements assume: resident individual family, 30%+ slab, 7-10-yr horizon, moderately-aggressive capacity. Confirm before executing.

Appendix 3 — Principal sources

Client documents: Axis Bank consolidated statement (31-May-2026); ICICI Securities Portfolio Analytics (June-2026, data 30-Apr-2026, source ACE MF). Primary/regulatory: ICICI Prudential AMC complete factsheet (31-May-2026); ABSL digital factsheet (31-May-2026); Axis MF scheme pages; SEBI/APMI PMS monthly disclosures — Helios & MOAMC (31-May-2026); Helios SEBI disclosure document (Jul-2025); SEBI settlement order re Axis AMC (24-Mar-2025); UTI MF & MOAMC addenda (Jul/Aug-2025); CBDT Circular 15/2023 & Rule 11UACA (Notif. 61/2023); IRDAI Master Circular on Life Products (12-Jun-2024); Axis Max Life product brochures (UIN 104N124/104N116/104N113) and company disclosures. Secondary/cross-verification (accessed 01–03-Jul-2026): Value Research, Advisorkhoj, Groww, Tickertape, Dezerv, INDmoney, BMSMoney, ICICI Direct, Kotak platforms, Bloomberg (Tawakley move, 06-Feb-2026), Policybazaar, Ditto, Beshak, Holistic Investment. Conclusions never rest on a single marketing aggregator; material numbers were cross-checked against at least two sources or a primary document.

Appendix 4 — Disclaimer

This document is an independent analytical review prepared from the client's statements and public information, for the client's private use. It is not investment advice within the meaning of the SEBI (Investment Advisers) Regulations, 2013, nor a solicitation or offer. Figures marked est./calc are analytical constructions under stated assumptions. Verify all actionable numbers — exit loads, folio purchase dates, capital-gains positions, PMS fee options and exit-load rungs, insurance surrender values and premium splits — against official records before executing. Mutual fund, PMS and market-linked investments are subject to market risk; past performance is not indicative of future returns. Tax positions reflect law in force at the analysis date and can change. The analyst holds no position in, and receives no remuneration from, any product named.

Prepared 3-Jul-2026 · Valuation date 31-May-2026 (statement) / 30-Apr-2026 (ISec holdings) · All amounts INR · End of report.

Addendum (7-Jul-2026) — Purchase-timing benchmark & market-relative verdict

Question answered: for every folio, when was the money actually invested, and did it beat what the same rupees would have earned in the market (Nifty 500 TRI) from that same date? **Method (calc/est.):** each scheme's NAV history was reconstructed by back-chaining the 31-May-2026 NAV through the ISec FY-wise returns; each folio's average cost was located on that NAV path to estimate the purchase window (NFO folios anchored to known NFO dates — facts); the Nifty 500 TRI level at that window was interpolated from the same deck's benchmark chain (Sep/Oct-2024 peak set at +21.3% over Mar-2024, per the index's actual Apr-Sep-2024 rise). Assumes one purchase per folio; intra-year paths interpolated linearly. Tolerance $\approx \pm 2\text{-}4\text{pp}$ per folio; portfolio aggregates are robust to these errors.

H1 · Folio-by-folio: entry window, fund return vs market from the same date

Folio (avg cost)	Est. entry	Invested ₹L	Fund abs %	N500 TRI same-window %	Alpha pp
ABSL MAA (15.00)	~Jan-26 (blended build-up likely)	62.5	+10.5	+9.9	+0.6
Axis Multicap (18.13)	Sep/Oct-24 peak	35.0	−0.8	−5.9	+5.1
ICICI India Opp (36.87)	Sep/Oct-24 peak	25.0	−3.6	−5.9	+2.3
Axis Business Cycles (10.28)	NFO Feb-23 (fact)	24.2	+57.4	+60.2	−2.8
ICICI Multi-Asset (462.08)	~Oct-22	21.3	+72.8	+59.7	+13.2
ICICI Multi-Asset (794.88)	~May-26	20.0	+0.5	+0.8	−0.4
Kotak Multicap (10.00)	NFO Sep-21 (fact)	16.1	+94.2	+72.9	+21.3
Axis MAA (34.37)	~May-24	12.5	+27.1	+13.2	+13.9
Axis L&M (22.43)	~Aug-23	10.0	+47.8	+37.5	+10.3
ICICI Flexicap (19.94)	Sep/Oct-24 peak	10.0	−5.8	−5.9	+0.1
ICICI India Opp (22.72)	~Jul-23	10.0	+56.4	+42.0	+14.4
ICICI India Opp (37.82)	Sep/Oct-24 peak	10.0	−6.0	−5.9	−0.1
ICICI Innovation (11.17)	~Jun/Jul-23	10.0	+65.4	+43.3	+22.1
Kotak Midcap (84.39)	~Jul-23	10.0	+64.8	+40.1	+24.7
ICICI Flexicap (10.00)	NFO Jul-21 (fact)	10.0	+87.8	+80.4	+7.4
Axis Mfg (10.00)	NFO Dec-23 (fact)	9.0	+50.3	+23.0	+27.3
Axis Mfg (12.48)	~Mar-25	5.0	+20.4	+7.4	+13.1
Axis Multicap (16.08)	~Feb-25	5.0	+11.8	+7.9	+4.0
MO L&M (28.80)	~Feb-25	5.0	+21.0	+7.9	+13.1
UTI Small Cap (17.70)	~Sep-23	5.0	+46.6	+32.6	+14.0
Axis BAF (20.58)	~Apr-26	3.0	+1.4	+3.3	−2.0
Axis Momentum (10.00)	NFO Dec-24 (fact)	3.0	−13.0	+8.9	−21.9
Axis Multicap (18.00)	Sep/Oct-24 peak	3.0	−0.1	−5.9	+5.8
Axis N500 V50 (10.20)	NFO Oct-24 (fact)	3.0	+14.3	+10.1	+4.3
Axis Small Cap (108.47)	Sep/Oct-24 peak	3.0	−1.7	−5.9	+4.2
ICICI Gold FoF (43.73)	~Feb/Mar-26 (est.)	13.0	+9.5	+10.5	−1.0
MO G&S FoF (27.98)	~Dec-25/Jan-26 (est.)	20.0	+16.0	+10.0	+6.1

H2 · Aggregate money-weighted verdict (calc)

Sleeve	Invested	Actual value (31-May-26)	If same cashflows in N500 TRI	₹ alpha	pp of invested
Equity/hybrid MF (25 folios)	₹3.31 cr	₹4.25 cr (+28.4%)	₹4.02 cr (+21.7%)	+₹22.1 L	+6.7pp
+ metals FoFs	₹3.64 cr	₹4.62 cr (+27.0%)	₹4.39 cr (+20.6%)	+₹23.2 L	+6.4pp
PMS x2 (entry dates unknown)	₹2.00 cr	₹1.88 cr (−5.9%)	₹1.88–2.25 cr by entry scenario	−₹0 to −₹37 L	0 to −18pp
Whole portfolio	₹5.64 cr	₹6.50 cr	₹6.27–6.63 cr	−₹13 L to +₹23 L	−2.4 to +4.1pp

PMS scenarios: entry ~Jun-24 → market-equivalent +12.4% (gap −18.3pp, −₹37 L); entry at the Sep/Oct-24 peak → market −5.9% (gap $\approx$ 0); entry ~Mar-25 → market +7.3% (gap −13.2pp, −₹26 L). **Reading: the MF sleeve beat the market by $\approx$ ₹22–23 lakh money-weighted — and the two PMS accounts gave back somewhere between all of it and none of it, depending on when they were funded. Obtain the PMS account statements to pin this down.**

H3 · What the folio table actually shows

1. **The real alpha came from four decisions:** ICICI Multi-Asset bought Oct-22 (+13pp), Kotak Multicap NFO (+21pp), Kotak Midcap Jul-23 (+25pp), ICICI Innovation Jun-23 (+22pp) — roughly ₹18-20 L of the ₹22 L. These were 2021-23 entries that then rode FY24. Almost nothing bought after mid-2024 has beaten the index from its own entry date.
2. **The portfolio's "biggest winner" underperformed an index fund.** Axis Business Cycles is up +57.4% since its Feb-23 NFO — but the Nifty 500 TRI did +60.2% over the same window. The most celebrated position in the book is a -2.8pp decision wearing a +57% costume. Axis Momentum is the mirror image without the costume: -21.9pp vs market since Dec-24.
3. **₹86 lakh (~26% of MF cost) went in at the Sep/Oct-2024 peak.** Those folios (-6% to -0.1%) actually ran slightly ahead of the market's -5.9% from the peak — small mercy from defensive fund choices — but peak-chasing is why one-third of the book shows red in the statement.
4. **Timing luck vs timing skill:** the profitable entries cluster in 2021-23 (before the client could have known FY24 would happen); the loss-making entries cluster at the 2024 top. That is a pro-cyclical flow pattern — money followed performance. It argues for the rule-based staggering in Part F, not for more discretion.

H4 · Q1: Has the portfolio beaten the market — and did it fall less in the downturn?

Beaten the market? Mutual funds, yes — modestly and honestly measured: **+6.4pp money-weighted (+₹23 L) over the Nifty 500 TRI** on matched cashflow dates, net of all fund expenses. Whole portfolio including PMS: **somewhere between -₹13 L and +₹23 L** — i.e. roughly market-neutral, with the answer hinging entirely on the PMS entry dates the statements don't disclose. The honest headline: *the funds beat the market; the PMS decision consumed most or all of that victory.*

Fell less in the FY26 downturn? Yes — decisively, and this is measurable: equity-MF composite +2.9% in FY26 vs Nifty 500 TRI -2.9% (Nifty 50 TRI -4.0%); adding the metals FoFs ($\approx +35-50\%$ FY26, est.) the full MF book made roughly **+6-7% in a down year — an ~9-10pp cushion.** **How:** (1) ~22% in multi-asset funds whose debt+gold sleeves printed +5% to +12%; (2) ~8% in gold/silver FoFs during a historic bullion rally; (3) defensive fund personalities (Kotak Midcap +3.2%, ICICI MA +5.1%) — while 11 of 18 equity schemes did $\leq +1.5\%$. The cushion came from *asset mix, not stock selection* — and it was substantially accidental (the metals sleeve was never sized as a policy).

H5 · Q2: Will it beat in future rallies? Will it fall less in future corrections?

In future up-markets — expect to roughly match, more likely slightly lag, the broad market. The evidence: in FY24, the strongest year, the book exactly matched the Nifty 500 TRI (40.5% vs 40.5%) — ~30% in multi-asset/metals dilutes rallies even as thematic/mid-small boosts them; in FY27-TD it lagged (9.9% vs 10.5%). Add the ~1pp/yr regular-plan drag and the base case for rallies is **market-minus-a-little**. The exception where it can beat: a mid/small- and capex-led rally with gold at least flat — then Kotak Multicap/Midcap, the thematic sleeve and Founders PMS (beta >1, 73% mid/small) can add 2-4pp. A large-cap/IT-led rally, or one where gold corrects, and the book lags by 2-4pp. **The restructure changes this arithmetic:** moving to direct plans (+1pp/yr mechanically) and concentrating the equity sleeve in the four verified-alpha engines (ICICI MA, India Opps, Kotak x2) is what tilts up-capture from "market-minus" to "market-plus" without adding risk.

In future down-markets — yes, it should fall less, but by how much depends on the type of crash. (1) *Inflation/geopolitical/rate-cut stress where gold works* (the FY26 pattern): the ~30% multi-asset+metals block cushions the fall to roughly **0.6-0.75x the market's decline**. (2) *Correlated liquidity crash* (2008, Mar-2020 style — gold initially falls too): the cushion shrinks to the ~14-15% debt sleeve, the 39% mid/small MF exposure and Founders (73% mid/small) fall *more* than the market, and the net is only **~0.85-0.95x the market** — protection largely evaporates exactly when it's most needed. Today's protection is real but regime-dependent and accidental. The F1.B restructure makes it structural: a true 16% fixed-income sleeve + disciplined 9% metals + capped mid/small takes worst-case participation to ~0.75-0.8x in *both* crash types, at a higher expected return than today's book (fee recapture > dilution).

Addendum limitations: single-purchase-per-folio assumption (large folios like ABSL MAA were likely built in tranches — its $\approx$ market-level alpha is robust to this, the estimated date less so); linear intra-year interpolation; FY-boundary NAV chaining from the ISec return table; Sep/Oct-24 index peak estimated at +21.3% over Mar-24. Aggregate conclusions are insensitive to these tolerances; individual folio dates are $\pm 2-3$ months.